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EdX Week 4 MONEY + MARKETS

What makes algorithm that decide how benefit and wealth are allotted through digital platforms fair?

→ would system of gov change if algorithm are made with big data
→ what's the role of private owned companies in social contract
→ learning economic games
→ Rational choice model (western) → one of decision

Utilitarian Ethics (nowadays)

↓

framework

→ moral value of a decision depends on the outcome
→ people make rational choices } assumptions
→ they have free will

Choices ⟶ Math models

↑

Biased

(→ exercise : Fairness toolkit → doc
+ watch video)

Value Sensitive Design

Typically nowadays instead of following this, companies just launch products and react afterwards

↑

Not Responsible innovation

Value discovery

Value conceptualisation

Empirical value investigation

Technical Value investigation

QUANTITATIVE METRICS

Distributive fairness

Used

Game theory →

outcomes given everybody's report of preferences

Videos

highest bidder to seller
mechanism also has issues

[illegible]

→ Social Welfare
distributive fairness metric → maximize welfare maximize quantity of people

can lead to ethics utilitarianism

Equity → minimize ≠
doesn't take efficiency into account

Maximin ~~[illegible]~~ efficiency → Theory Of Justice by John Rawls
→ Benefits the worst off
→ doesn't guarantee efficiency

Pareto efficiency
→ improve some people while not empeorando a nadie

envy freeness (?)
people believe they got the better option
side payment to balance different

Proportionality
~~[illegible]~~ from participants → overall reward centrally stored
Contribution
participants choose team
rewards proportionally to their contribution

Game theory
economic utilitarianism
} moral value

assumes all actors are fair, know everything
their impact can be quantified
self interested without harming
$
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not true always

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